STONEWARD CONSTRUCTION
Utah's ADU Experts

BACKYARD ADU
INCOME WORKSHEET

Will a backyard ADU pay for itself?

Run your own numbers before you commit. This takes about ten minutes. Use your real quotes where you have them. The example column shows how the math works and uses made-up numbers, so it is not a prediction or a quote.

1. What it costs

Home delivered and set (use a written estimate)	example 171,200	
Foundation and site work	example 25,000	
Utility connections	example 15,000	
Finish work joining the modules	example 15,000	
Permits, fees and tax	example 10,000	
Contingency (about 10%)	example 20,000	
A. Total project cost	example 256,200	

2. What it earns each year

Monthly rent you could realistically get × 12	1,800 × 12 = 21,600	
Minus vacancy and turnover (about 5%)	− 1,080	
Minus extra property tax	− 1,400	
Minus extra insurance	− 700	
Minus utilities you cover	− 600	
Minus maintenance and repairs	− 900	
B. Net income per year	16,920	

3. What it returns

B ÷ A = return on project cost	16,920 ÷ 256,200 = 6.6%	
If you borrow: loan amount, rate, years	200,000 at 7% for 30 yrs	

Yearly loan payments (use a loan calculator)	about 15,970	
C. Cash left each year (B minus loan payments)	about 950	

How to read it. In the example the unit roughly pays its own loan but leaves little extra. That is common for small rentals, and it is why the cost side matters so much. A shorter build, less waste and fewer site surprises protect your return. Family use changes the math too, because you are saving rent or care costs, not collecting it. Try your numbers with a lower rent and a higher cost to see how much room you have.

Rules that affect income in Utah

- Cities can require rentals of at least **90 consecutive days**, so plan on long-term tenants, not nightly stays.
- Cities can require the **owner to live** in the main home or the ADU.
- One ADU per lot is the usual limit.
- Parking: at most one space under 650 square feet, two at 650 square feet or more.
- Your city may license or register rentals. Ask before you build.

Planning worksheet only. Not tax, legal or financial advice. Talk to a tax professional and a lender about your situation. Rules and prices change.

Want us to run your lot? Send your address to Stoneward Construction and we will check lot size, your city's rules and a realistic project budget. (801) 888-0136 · stonewardconstruction.com

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